# Financing AI infra: Tighter credit and rising capex, but deal economics hold up

Nov 11, 2026 · @Sanskar

## OVERVIEW

Over the last few months, the financing markets for AI infrastructure development have tightened with higher spreads and increased cost to fund new projects. Yields on bonds secured by data centers and associated contracted cashflows are rising, led by increasing base rates and wider spreads (Exhibit 1). Typically, it takes 18-24 months for a new data center to fully operationalize and ramp up on leased cashflows, while capex is required upfront. Investors are now more concerned about return on capital for new AI deployments, underwriting credit for non-investment grade tenants at a higher spread. Across our coverage, emerging AI infra developers (former crypto miners) have raised ~$21Bn of project level debt backed by data center assets, with announced contracts requiring additional $15Bn debt funding. We provide a short primer on the current financing environment for AI infra developers.

**Spreads widening:** The US 10-year Treasury yield stood at ~4.9% on Nov 5, with markets pricing ~84% probability of a 25bps Fed rate hike in December. US high yield spreads widened to 348bps on Nov 5, the widest since May 2025. AI-linked credit has repriced faster - 10-year hyperscaler spreads have widened ~50bps YTD vs ~20bps for non-AI industrials. The highest-rated data center bonds now yield ~7% vs below 5% at the start of 2026. GLXY's Helios notes (B+) fell to 89.25 cents on Nov 5, implying ~13% yield vs 9.875% coupon at issue in July. Lenders are now stress-testing cashflows and reviewing tenant termination rights. Hence, we believe hyperscaler backstops are now necessary, but not sufficient, to secure project debt.

EXHIBIT 1: **AI-linked credit has repriced faster than the broader market**

| Indicator | Latest | Comparison |
|---|---|---|
| US 10-year Treasury yield | ~4.9% (Nov 5) | ~84% probability of Dec-26 Fed hike |
| US high yield spread | 348bps (Nov 5) | Widest since May 2025 |
| Single-B spread | 367bps | +35bps, highest since March 2026 |
| Investment grade spread | 93bps (Nov 5) | 91bps prior session |

| Indicator | Latest | Comparison |
|---|---|---|
| 10-year hyperscaler spreads | ~+50bps YTD | ~+20bps for non-AI industrials |
| Highest-rated data center bond yield | ~7% | Below 5% at start of 2026 |
| Data center HY bonds and loans at double-digit yield | 18+ | - |
| GLXY Helios notes (B+) | 89.25 cents, ~13% yield | 9.875% coupon at issue (Jul-26) |

Source: Reuters, Reuters, Bloomberg, Trading Economics, Bernstein analysis

## CAPEX BREAKDOWN

AI infra developers are guiding for $10-12 Mn per IT MW capex for building a greenfield powered facility (Exhibit 3). Broadly, construction labor and on-site execution represents 45% of the total capex ($5-6 Mn/ IT MW), equipments like transformers, switchgears etc represent 40% ($4-5 Mn/ IT MW) and soft costs on design, permitting, insurance etc represent the remaining 15% ($1-2 Mn/ IT MW) (Exhibit 2). Tenant fit-outs add incremental $1-2 Mn/ IT MW. Developers often engage EPC companies and lock in prices of long lead items in advance, eg. WULF has signed Fluor as EPC on a guaranteed maximum price basis for Justified, with >80% of long lead equipment already procured. For neoclouds, compute costs another $30-40 Mn per IT MW based on chip generation - IREN's GB300 deployment for Microsoft implies ~$29 Mn/ IT MW, while new generations are expected to cost upto $40 Mn/ IT MW.

**Who bears the capex?**

Overall, deployment of one IT MW of cloud greenfield costs $40-50 Mn today. Further, the deployment cost is rising with ongoing supply chain inflation and new chip launches. Developers are adopting multiple approaches to share the capex risk with other parties, depending upon operating segment, business model and contractual terms.

**(i) Operating segment - colocation vs cloud:** Colocation providers build and lease out the powered facility, while the tenant brings its own GPUs. Hence, colocation providers only bear the data center capex ($10-12 Mn/ IT MW), while the tenant bears the compute capex ($30-40 Mn/ IT MW) and the technology obsolescence risk. In our coverage, WULF, RIOT, CORZ, CIFR, CLSK and MARA are building an active colocation business, while IREN is building a neocloud business.

**(ii) Business model - vertically integrated vs lease/ JVs:** Within each segment, developers can either own the full stack or share it with partners.

**Neoclouds (IREN):** IREN is building a vertically integrated cloud platform - owning powered data center, compute and software stack. Hence, IREN has guided for $50-60 Mn capex per IT MW. Peer cloud operators also rely on leased data centers from other developers to ramp up capacity (paying rent over the lease term rather than upfront data center capex).

**Colocation:** Data center developers typically own and build the data centers, funding the complete capex ($10-12 Mn/ IT MW) upfront. However, we are also seeing partnership structures that split the capex burden between different parties. For example, RIOT has secured a 15-year powered land lease at Corsicana, where RIOT delivers the land, power infrastructure and power pads, while the tenant installs, owns and operates a modular compute deployment using their own designs. This reduces RIOT's capital requirements to $6 Mn/ IT MW vs the greenfield capex of upto $12 Mn/ IT MW. Similarly, MARA has formed a JV with Starwood Digital Ventures, where MARA contributes energy and sites and Starwood leads development and provides investment, with MARA retaining upto 50% ownership.

**(iii) Contractual terms:** Within colocation, the lease terms decide how much of the data center capex the developer finally bears. In our coverage, we see three structures - developer funded, capex caps and capex sharing.

**Developer funded:** The developer funds the entire data center buildout ($10-12 Mn/ IT MW) and recovers it through long term rentals over 10-20 years. Hence, the developer bears the cost overrun risk, which is mitigated by locking in EPC contracts and long lead items in advance. For example, WULF (Lake Mariner, Justified), CLSK (Sandersville) and CORZ (AMD contract) are funding the complete buildout.

**Capex caps (CIFR):** The lease caps the capex the developer needs to fund per IT MW, with the tenant responsible for costs above the cap. CIFR's AWS lease at Black Pearl caps capex at $9.5 Mn/ IT MW, with Amazon reimbursing costs above the cap. At Barber Lake, CIFR absorbs the first $359.3Mn of costs above the original budget, while the tenant reimburses 50% of any further overrun through additional rent.

**Capex sharing (CORZ):** The tenant funds part of the buildout and recovers it from the developer over the lease term. At CORZ's CoreWeave sites, CoreWeave funded $226Mn of CORZ's $279Mn capex in 4Q25, and recovers upto $1.5 Mn/ IT MW through rent credits, capped at 50% of monthly fees. Hence, the upfront capex burden on CORZ is lower, while the cash rent is reduced over the recovery period.

**How additional rentalization works:** Developers also fund tenant requested capex like fit-outs and change orders, and recover it through higher rent at a contracted return over the lease term. For example, WULF has rentalized ~$150Mn of fit-out capex at Lake Mariner over the 10-year lease, adding ~$500Mn to contracted revenue (including 12 MW of incremental IT capacity). At Barber Lake, CIFR's amended lease raised the estimated

cost at completion to $2.9-3.0Bn from the original budget of $2.2Bn. CIFR absorbs $359Mn of tenant change orders and 50% of the $375-400Mn additional costs to complete, while the tenant rentalizes the remaining 50% ($187-200Mn), adding ~$480Mn of revenue over the 20-year lease. Hence, the yield on cost improves to ~15% vs ~13% without the amendment. The reverse structure uses rent credits - at Corsicana, if project financing is unavailable at market terms, the tenant funds RIOT's $3.6Bn of reimbursements and recovers it through rent credits at an implied 12% annual rate.

Irrespective of who is responsible for the capex, overall budget remains $40-50 Mn/ IT MW including compute.

**Deal economics offset higher capex:** Data center capex guidance has moved up from $8-11 Mn/ IT MW at our initiation in June to $10-12 Mn/ IT MW for recent deals. However, improving deal terms (triple net leases, direct hyperscaler tenants and higher rent per MW) have kept returns intact. Unlevered yield on cost across recent deals in our coverage ranges 13-18% with a median of ~17%. RIOT's Corsicana is the outlier at 33%, as the powered land structure halves capex to $6 Mn/ IT MW (Exhibit 4).

EXHIBIT 2: **CORZ - Breakdown of $11-12 Mn/ IT MW data center capex**

| Cost bucket | Share | Key items |
|---|---|---|
| Construction labor and on-site execution | ~45% | Electrical and mechanical technicians, equipment operators, pipefitters, supervisors |
| Owner furnished equipment (OFE) | ~40% | Transformers, switchgear, generators, chillers, pumps, liquid cooling, control systems |
| Soft costs | ~15% | Design engineering, permitting, utility interconnection, insurance, temporary power, contingency |
| Tenant fit-out (excluded above) | $1-2 Mn/ IT MW | - |

Source: CORZ Q2 2026 presentation, Bernstein analysis

EXHIBIT 3: **Capex per IT MW across our coverage**

| Company - site | Capex per IT MW | Capex borne by |
|---|---|---|
| WULF - Lake Mariner | ~$8.9 Mn | Developer |
| WULF - Justified | $10-12 Mn | Developer |

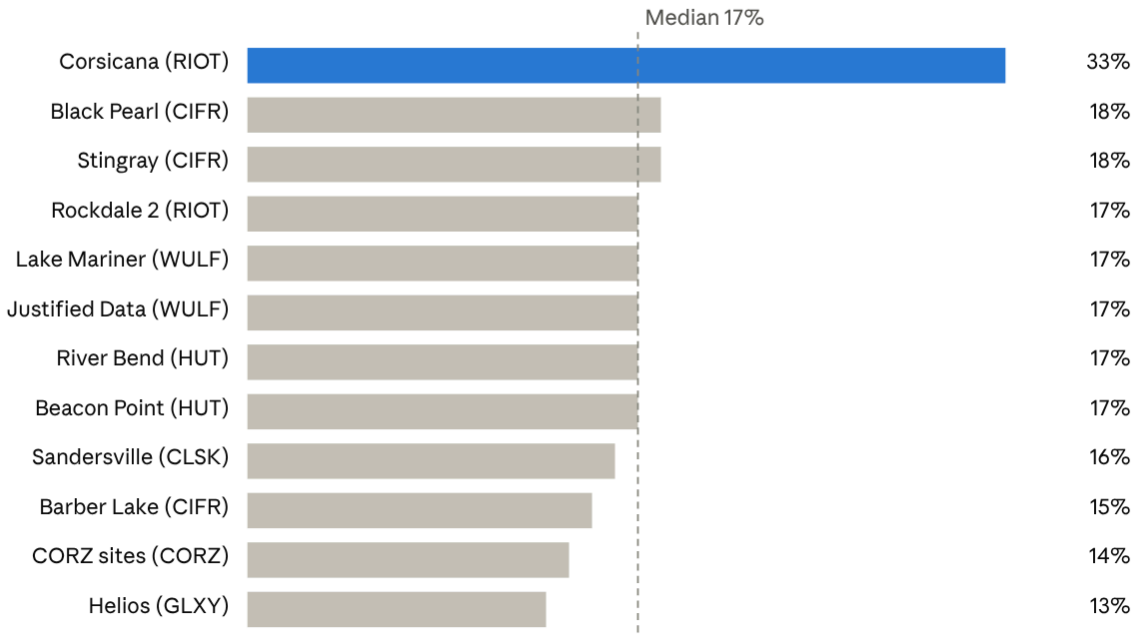
| Company - site | Capex per IT MW | Capex borne by |
|---|---|---|
| CIFR - Barber Lake | ~$13 Mn post amendment | Developer, overruns shared above threshold |
| CIFR - Black Pearl | $9.5 Mn cap | Developer up to cap, tenant above |
| CLSK - Sandersville | $10-12 Mn | Developer |
| CORZ - AMD contract | $11-12 Mn | Developer |
| CORZ - CoreWeave sites | Up to $1.5 Mn recovered by tenant | Tenant funded, recovered via rent credits |
| RIOT - Rockdale (AMD, 50 IT MW) | ~$3.5 Mn | Developer (brownfield) |
| RIOT - Rockdale (191 IT MW) | $11-12 Mn | Developer |
| RIOT - Corsicana | $6 Mn, of which RIOT $2 Mn upfront | Shared, tenant owns modular compute |
| IREN - Microsoft (GPU only) | ~$29 Mn | Developer, 96% via GPU debt and prepayment |

Source: Company filings and presentations, WULF Q3 2026 call, CIFR Q3 2026 call, RIOT Q3 2026 presentation, Bernstein (RIOT Q3, 5 Nov 2026), Bernstein analysis

EXHIBIT 4: **Unlevered yield on cost across recent AI infra deals**

Unlevered yield on cost: ~17% across deals, 33% at RIOT Corsicana

Median across 12 deals: 17%. Powered land structure halves capex at Corsicana




Bernstein (RIOT Q3, 5 Nov 2026), Exhibit 4 · 12 recent AI infra deals

Source: Company filings, Bernstein (RIOT Q3, 5 Nov 2026), Bernstein analysis

# FINANCING

Typically, 70-90% of the AI infra capex is financed using debt, with equity contributions for the remaining. Financing structures differ between colocation and cloud, led by the differences in the asset being financed and the contracts backing it. Colocation developers finance the powered facility, a long-lived asset backed by 10-20 year leases. Hence, colocation projects are financed through project-level senior secured notes, secured by data center assets and lease cashflows. Cloud operators finance GPUs (contracted or on demand capacity) backed by single or multiple customers. GPUs have relatively shorter useful lives (5-7 years) with high tech risk. Therefore, cloud operators generally use delayed draw term facilities (fund GPU purchases in phases) with shorter maturities.

## FINANCING THE DATA CENTER CAPEX

**(i) Project debt:** Majority of developers leverage project debt to issue bonds secured by project assets and cashflows (Exhibit 5). Key features of project bonds issued to finance AI data centers include:

**Secured by project assets:** The bonds are issued by a ring-fenced subsidiary with a parent completion guarantee. Hence, the noteholders rely only on the data center and contracted cashflows, rather than developer's broader business. The underlying collateral includes first-priority lien on project assets, enhanced by developer and tenant guarantees.

**Spread - High yield vs investment grade:** Pricing of the bond depends on both tenant's credit profile and developer's execution record. Investment-grade tenants (or backstops) have a tighter spread relative to non-investment grade tenants. Further, pricing has improved with successive bond issuance by the developers as they demonstrate ability of disciplined execution. For example, CIFR (Black Pearl bonds at 6.125% and Stingray at 6.0% - both contracted to AWS, vs 7.125% for Barber Lake) and HUT (River Bend bonds at 6.192%, Beacon Point priced 20bps tighter - both backed by investment grade credit) have had tighter spreads. In comparison, WULF, CORZ and CLSK have priced at 7.75-7.875%.

**Amortization and repayment schedule:** Project bonds typically have a 5-year maturity, with principal repayments starting only after construction is completed. This aligns debt service with project cashflows. Majority of principal is due towards the maturity of note through a bullet repayment, creating a need to refinance the outstanding balance before maturity. Among the emerging AI infra developers, only HUT has issued investment grade data center construction bonds - River Bend (BBB-, due 2042) and Beacon Point (Baa2), both fully amortizing.

**Contractual safeguards:** Indentures include structural protection that directs project cashflows to the noteholders first. The developers are required to maintain a debt service reserve account that can be used to service debt obligations if project cashflow falls short (delivery delays, late payments etc). Some notes also require maintaining a minimum debt service coverage ratio, blocking distribution and new debt if that threshold is breached - eg. HUT's River Bend notes allow distributions only if DSCR exceeds 1.1x.

**(ii) Convertibles and ATM for equity:** Developers fund the equity contribution at the parent level through convertible notes (largely zero coupon, bullet maturity) and ATM programs (Exhibit 6). For example, CIFR funded its Barber Lake equity contribution through $850Mn of 0% convertibles, while WULF raised $900Mn of common equity in April to fund Justified. RIOT has funded its equity contribution through Bitcoin sales ($1.5Bn YTD), with no equity raised in 2026.

**(iii) Interim financing:** Banks fund the gap between lease signing and long term project debt. For example, CORZ repaid its $1Bn Morgan Stanley bridge from its May notes, while RIOT has a $573Mn Morgan Stanley interim facility for Rockdale.

EXHIBIT 5: **Project level senior secured notes issued by AI infra developers**

| Issuer (parent) | Site | Size | Coupon | Maturity | Amortization | Rating |
|---|---|---|---|---|---|---|
| WULF Compute (WULF) | Lake Mariner | $3.2Bn | 7.750% | Oct-30 | Semi-annual, post building completion | High yield (BB/Ba2) |
| Cipher Compute (CIFR) | Barber Lake | $1.73Bn | 7.125% | Nov-30 | Post completion, plus 50% excess cash flow offer | High yield |
| Black Pearl Compute (CIFR) | Black Pearl | $2.0Bn | 6.125% | Feb-31 | 7.00% p.a. post completion | High yield |
| Stingray Compute (CIFR) | Stingray | $810Mn | 6.000% | Jun-31 | Sculpted to target DSCR | High yield |
| Core Scientific Finance I (CORZ) | CoreWeave sites | $3.3Bn | 7.750% | May-31 | 11.50% p.a. | High yield |
| CSDC Finance I (CLSK) | Sandersville | $2.28Bn | 7.875% | Oct-31 | Sculpted to target DSCR | High yield |
| Hut 8 DC (HUT) | River Bend | $3.25Bn | 6.192% | Nov-42 | Fully amortizing from May-28 | Investment grade (BBB-) |
| HUT | Beacon Point | $4.25Bn | T+165bps | - | Fully amortizing | Investment grade (Baa2) |

Source: WULF, CIFR - Barber Lake, CIFR - Black Pearl, CIFR - Stingray, CORZ, CLSK, HUT - River Bend, HUT - Beacon Point, Bernstein analysis

EXHIBIT 6: **Convertible notes issued by AI infra developers**

| Issuer | Size | Coupon | Maturity | Stated use |
|---|---|---|---|---|
| IREN | $6.7Bn across six series | 0.00-3.50% | 2029-33 | Corporate, cloud buildout |
| CLSK | $1.15Bn | 0.00% | 2032 | ~$460Mn buyback, land and power, data center development |
| WULF | $1.025Bn | 0.00% | 2032 | Abernathy JV equity, parent liquidity |
| CIFR | $850Mn | 0.00% | 2032 | Equity contribution into Barber Lake |

Source: WULF, CLSK, CIFR, Bernstein (IREN Q1FY27, 6 Nov 2026), Bernstein analysis

## FINANCING THE GPU CAPEX

Cloud operators finance GPUs through special purpose vehicles that own the GPUs and the customer contract. GPU financing is shorter (2-6 years), drawn in stages as GPUs are delivered and fully amortizing over the customer contract. Pricing depends on the end customer's credit rather than the GPU collateral (Exhibit 7).

**(i) Delayed draw term loans (DDTL):** Banks commit the facility upfront, which is drawn in tranches against GPU delivery, with an undrawn fee on the remaining commitment. CRWV's DDTL 4.0 ($8.5Bn) for a single investment grade customer is priced at SOFR+2.25%, with a minimum 1.15x DSCR covenant. For non-investment grade customers, spreads widen to SOFR+4.50% for DDTL 5.0 and SOFR+5.50% for DDTL 5.5, as its ~5-year maturity extends beyond the ~3-year average customer contract. IREN's DDTL for its Microsoft contract is priced at SOFR+2.25%, in line with CRWV's investment grade facility.

**(ii) Secured notes:** Fixed rate notes sit alongside the DDTL under a common security package. IREN's $3.65Bn Microsoft financing combines a $1.55Bn DDTL with $2.1Bn of private placement notes, rated A by Fitch, at a 6.0% blended cost. The GPUs are owned by a ring-fenced subsidiary, with the Microsoft contract cashflows pledged to lenders. IREN's parent guarantee is limited to performance shortfalls. If Microsoft terminates a tranche, debt attributable to that tranche is prepaid, net of GPU sale proceeds.

**(iii) Non-investment grade GPU financing:** Without an investment grade customer, GPU financing is costlier and shorter. IREN has raised $2.4Bn at 9% fixed for its Mackenzie expansion, covering ~90% of GPU capex, with maturity ~30 months from draw. IREN also uses GPU leases at a 9.9% weighted average rate over 24-36 months. We estimate the accelerated repayment implies DSCR of ~0.7x in 2027-28E for Mackenzie. Hence, customer prepayments are required to bring DSCR above 1x.

**(iv) Customer prepayments:** Customers prepay part of the contract value before GPU delivery, reducing the external funding need. Microsoft prepays 20% of contract value for each tranche (~$1.9Bn, ~33% of GPU capex), credited against service fees after the 24th month. Together with GPU debt, it funds 96% of the $5.8Bn GPU capex at an average financing cost of 3.31%. IREN's recent contracts carry prepayments of 45-55% of GPU capex, rising to 90% on its latest contract. Hence, prepayments act as low-cost financing, while keeping the GPU fleet available as collateral for debt.

**(v) Investment grade vs non-investment grade:** GPU debt backed by an investment grade customer costs ~300-400bps less than non-investment grade GPU debt (Exhibit 8). For example, CRWV pays SOFR+2.25% on DDTL 4.0 vs SOFR+4.50-5.50% on DDTL 5.0 and 5.5. On a fixed rate basis, investment grade backed GPU debt prices at ~5.9-6.0% vs 9.0-9.9% for IREN's Mackenzie financing and GPU leases. Investment grade backing also brings a longer tenor (~5-6 years vs ~2.5-3 years) and limited parent recourse.

EXHIBIT 7: **GPU financing facilities - pricing tracks end customer credit**

| Borrower - facility | Size | Pricing | Maturity | End customer | Parent recourse |
|---|---|---|---|---|---|
| CRWV - DDTL 4.0 | $8.5Bn | SOFR+2.25% / ~5.9% fixed | Mar-32 | Single investment grade customer (A3/A(low)) | Limited, specified 'bad acts' |
| IREN - Microsoft DDTL | ~$1.5Bn | SOFR+2.25% | Dec-31 | Microsoft (Fitch A) | Limited, performance shortfalls |
| IREN - Microsoft senior notes | $2.1Bn | 5.96% fixed | Dec-31 | Microsoft (Fitch A) | Limited, performance shortfalls |
| CRWV - DDTL 3.0 | $2.6Bn | SOFR+4.00% | Aug-30 | OpenAI | Parent guarantee |
| CRWV - DDTL 5.0 | $3.1Bn | SOFR+4.50% | Nov-31 | Two non-investment grade customers | Unconditional parent guarantee |
| CRWV - DDTL 5.5 | $2.6Bn | SOFR+5.50% | Sep-31 | ~3-year average customer contracts | Unconditional parent guarantee |
| IREN - Mackenzie financing | $2.4Bn | 9.00% fixed | May-29 | Non-investment grade | - |
| IREN - GPU leases | $244Mn outstanding | 9.9% | 24-36 months | - | - |

Source: CRWV DDTL 3.0, DDTL 4.0, DDTL 5.0, DDTL 5.5, IREN FY26 10-K, Bernstein (IREN Q1FY27, 6 Nov 2026), Bernstein analysis

EXHIBIT 8: **GPU financing - investment grade vs non-investment grade end customer**

| Term | Investment grade customer | Non-investment grade customer |
|---|---|---|
| Floating spread (CRWV DDTL) | SOFR+2.25% (DDTL 4.0) | SOFR+4.50% (DDTL 5.0) to SOFR+5.50% (DDTL 5.5) |
| Fixed rate | ~5.9% (CRWV DDTL 4.0), 5.96% (IREN Microsoft notes) | 9.0% (IREN Mackenzie), 9.9% (IREN GPU leases) |
| Tenor | ~5-6 years | ~2.5-5.5 years |
| Parent recourse | Limited ('bad acts', performance shortfalls) | Unconditional parent guarantee (CRWV) |

| Term | Investment grade customer | Non-investment grade customer |
|---|---|---|
| Customer prepayment | ~33% of GPU capex (Microsoft); debt plus prepayment fund 96% of GPU capex | 45-55% of GPU capex on recent IREN contracts; debt plus prepayment fund >100% at Mackenzie |
| Debt service coverage | ~1.4x average (IREN Microsoft) | ~0.7x in 2027-28E without prepayments (IREN Mackenzie) |

Source: CRWV DDTL 4.0, DDTL 5.0, DDTL 5.5, IREN FY26 10-K, Bernstein (IREN Q1FY27, 6 Nov 2026), Bernstein estimates and analysis

## ENHANCING CREDIT TERMS

Lenders underwrite the credit of the rent payer rather than the developer. Hence, developers with neocloud or unrated AI lab tenants use credit enhancement to bring project debt closer to investment grade terms (Exhibit 9, Exhibit 10).

**(i) Backstops:** A hyperscaler or chipmaker backstops the tenant's lease obligations. Hence, lenders underwrite the credit of the backstop provider rather than the tenant. Early deals included equity wrappers (Google backstopping Fluidstack at WULF and CIFR in exchange for warrants), while more recent backstops come without upfront equity. Key terms that strengthen the credit include:

**Lease assumption or termination payment:** On a tenant payment default or insolvency, Google can either pay all rent due and assume the lease as tenant, or pay a termination fee. At WULF's Justified, the termination fee amortizes over a defined term, tracking the declining debt balance.

**Full rent and pass-through coverage:** At HUT's River Bend, Google's backstop covers lease payments and pass-through obligations for the full 15-year base term.

**Warrant pledge to construction lenders:** The backstop becomes effective only at lease commencement. Until then, Google pledges its WULF and CIFR warrants to the construction lenders. CIFR's warrants also carry a top-up to a minimum value of $435Mn.

**Fall-away on investment grade:** WULF's Justified backstop becomes effective at commencement of the final data hall, and terminates once Anthropic achieves and maintains investment grade ratings for a specified period.

Chipmaker credit support is structurally weaker. At CORZ's Auburn and Dalton sites, AMD has the right, but not the obligation, to cure the neocloud's defaults. Hence, we believe lease assumption combined with a debt-sized termination payment is the strongest protection for project lenders.

**How investment grade backstops lower financing cost:** Tenant credit is the key driver of project bond pricing (Exhibit 10). Projects with direct hyperscaler tenants or full-term investment grade backstops have priced at 6.0-6.75%, vs 7.1-7.75% for Google-backstopped neocloud leases and upto 9.9% for neocloud tenants without a backstop. On a $3Bn project bond, a ~150bps lower coupon saves ~$45Mn of annual interest. A full-term investment grade backstop also unlocks the investment grade bond market itself. HUT is the only developer in our coverage with investment grade data center bonds - its River Bend notes (BBB-) carry a 16.5-year tenor matched to the 15-year lease and fully amortize. In comparison, Google's backstops at WULF and CIFR cover a capped amount of Fluidstack's obligations. WULF's Lake Mariner notes were rated BB/Ba2 despite Google's backstop, as construction risk constrained the rating.

**(ii) Convertibles:** Convertible proceeds raised at the parent level are contributed as equity into the project, sitting below the secured notes. This lowers loan-to-cost for project lenders without a cash coupon at the parent level - eg. CIFR's $850Mn of 0% convertibles for Barber Lake.

**(iii) Preference equity:** Asset level preferred equity sits between project debt and common equity, reducing the developer's own equity contribution. For example, APLD has a perpetual preferred facility of upto $5Bn with Macquarie Asset Management. Within our coverage, developers have so far relied on convertibles and common equity for this layer.

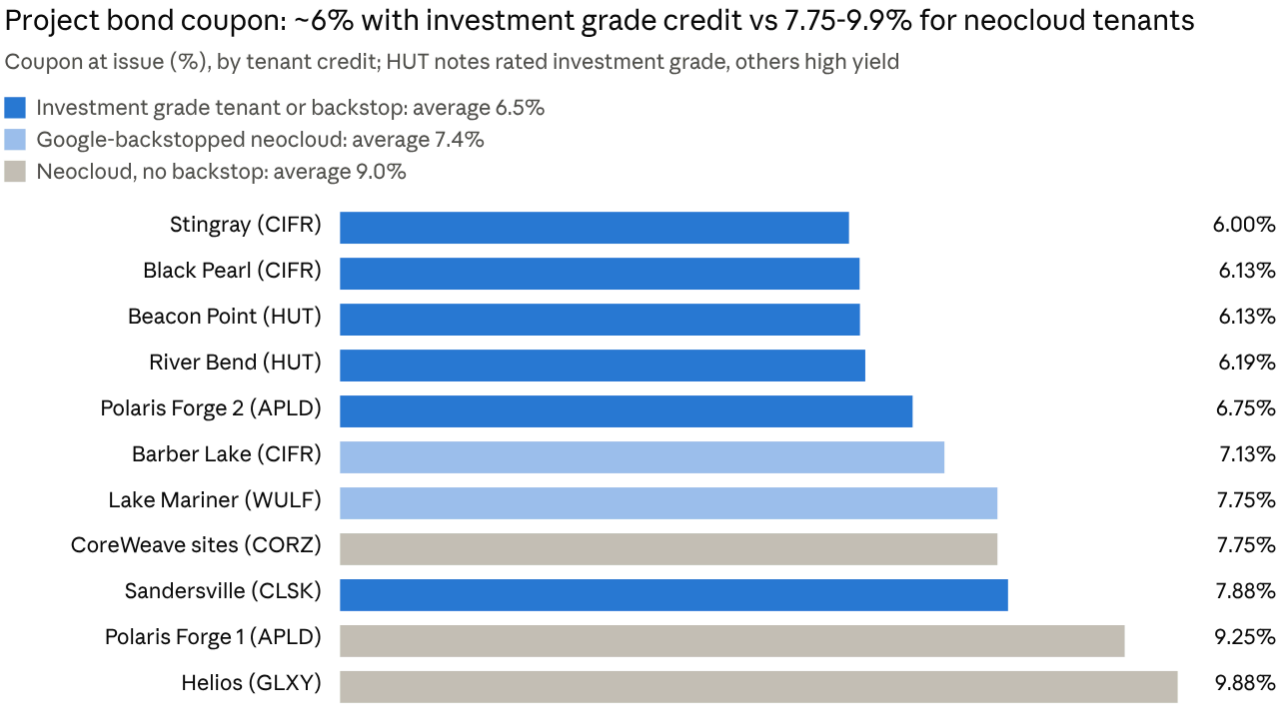
EXHIBIT 9: **Key backstop terms across AI infra deals**

| Deal | Credit support | Effective from | Tenant default remedy | Other protections | Consideration |
|---|---|---|---|---|---|
| CIFR - Black Pearl (AWS) | Amazon.com parent guaranty | - | Direct guarantee of tenant obligations | Capex cap at $9.5Mn/ IT MW | - |
| WULF - Lake Mariner (Fluidstack) | Google, $3.2Bn of lease obligations | Lease commencement | Pay termination fee, or pay rent due and assume lease | Warrants pledged to construction lenders | Warrants for ~73.6Mn shares at $0.01 |
| CIFR - Barber Lake (Fluidstack) | Google, $1.73Bn of lease obligations | Lease commencement | Pay rent due and assume lease, or termination fee for equity in project subsidiary; deferral with rent paid | Replacement tenant period; warrants pledged to lenders; $435Mn value top-up | Warrants for ~24.2Mn shares at $0.01 |

| Deal | Credit support | Effective from | Tenant default remedy | Other protections | Consideration |
|---|---|---|---|---|---|
| HUT - River Bend (Fluidstack) | Google | 15-year base term | Covers lease payments and pass-through obligations | Additional backstop of operations services payments | - |
| WULF - Justified (Anthropic) | Google, three credit support agreements | Final data hall commencement | Pay rent due and assume lease, or termination fee amortizing over a defined term | Falls away on Anthropic investment grade rating | No upfront equity; cost borne by tenant |
| CORZ - Auburn, Dalton (neocloud) | AMD credit support agreements | Lease term, up to 15 years | Right, not obligation, to cure neocloud defaults | No equity step-in rights; AMD equipment protections | AMD warrant for up to 30Mn shares at $23.47 |
| RIOT - Rockdale (191 IT MW) | Investment grade backstop, being finalized | - | - | $573Mn interim facility meanwhile | - |

Source: WULF 8-K (Aug-25), WULF 8-K (Aug-25), WULF 8-K (Nov-26), CIFR 8-K (Sep-25), CIFR 8-K (Nov-25), CORZ 8-K (Jul-26), HUT, CIFR - Black Pearl, Bernstein analysis

EXHIBIT 10: **Data center project bond coupon by tenant credit**




Company filings; Bernstein (Emerging AI Infra initiation, 3 Jun 2026) for APLD · 11 project bonds

Source: Company filings, Reuters, HUT - Beacon Point, Bernstein (Emerging AI Infra initiation, 3 Jun 2026), Bernstein analysis

## PLAYER-WISE STATUS

**CIFR - Contracted buildouts fully funded:** CIFR has raised project notes across all three contracted campuses ($4.5Bn at 6.0-7.125%), at the lowest coupons among the high yield issuers in our coverage. CIFR funded its Barber Lake equity contribution through $850Mn of 0% convertibles.

**CLSK - Sandersville funded:** CLSK closed $2.28Bn of 7.875% project notes in September for its 175 IT MW Sandersville lease, ahead of the recent spread widening. The next financing will follow a lease at its Texas portfolio (upto 885 MW).

**WULF - Justified financing next:** Lake Mariner is funded through $3.2Bn of 7.75% notes, with project cost tracking at ~$8.9 Mn/ IT MW. For Justified (401 IT MW, ~$19Bn lease), WULF has contributed ~$550Mn of equity and expects to fund the remaining capex through project level debt. The financing is now supported by Google's credit backstop and a Fluor EPC contract on a guaranteed maximum price basis.

**CORZ - AMD project bond pending:** The CoreWeave sites are funded through $3.3Bn of 7.75% notes. The ~$6Bn project bond for the 530 IT MW AMD contract is not secured yet, with management describing lender diligence as more comprehensive. First AMD delivery at Pecos is due in 1H27.

**RIOT - $6.1-7Bn project debt to raise:** RIOT has contracted 1.15 IT GW for ~$38Bn total revenue, but is yet to close project level debt. RIOT has $573Mn of interim financing from Morgan Stanley for Rockdale. For Corsicana, if financing is unavailable at market terms, the tenant funds $3.6Bn through revenue prepayments, recovered from lease rentals at an implied 12% interest rate. RIOT's $0.8-1.5Bn equity contribution is covered by its ~$1Bn liquidity.

**IREN - $6Bn of FY27 capex to fund:** IREN has guided for $15Bn capex over the next three quarters, of which $9Bn is covered by cash ($5.8Bn) and undrawn committed financing ($3.2Bn). IREN is targeting the remaining $6Bn through GPU financing, prepayments and data center financing against its $6Bn of unencumbered data center assets. IREN has cut its FY27 capex guidance to $20Bn from $25-30Bn, adjusting the pace of buildout to the funding environment.

EXHIBIT 11: **Financing status across our coverage**

| Company | Contracted | Debt in place | Yet to close | Liquidity |
|---|---|---|---|---|
| CIFR | Black Pearl, Barber Lake, Stingray | $4.5Bn project notes, $850Mn convertibles | None on contracted sites | $656Mn cash, ~$2.2Bn restricted |
| CLSK | Sandersville, 175 IT MW | $2.28Bn project notes, $1.15Bn convertibles | None on Sandersville | - |
| WULF | Lake Mariner; Justified, 401 IT MW | $3.2Bn project notes, $400Mn revolver | Justified project debt | ~$2.4Bn cash and restricted cash |
| CORZ | 1.1 IT GW (CoreWeave, AMD) | $3.3Bn project notes | ~$6Bn AMD project bond | $804Mn cash, $1.74Bn incl. DSRA |
| RIOT | 1.15 IT GW (AMD, Rockdale, Corsicana) | $573Mn interim facility | $6.1-7Bn project debt | ~$1Bn cash and Bitcoin |
| IREN | AI cloud, $4Bn ARR by early 2027E | $10Bn ($6.7Bn convertibles, $3.3Bn GPU debt) | $6Bn of FY27 capex | $5.8Bn cash |

Source: Company filings, CIFR, WULF, CORZ, RIOT, Bernstein (RIOT Q3, 5 Nov 2026), Bernstein (IREN Q1FY27, 6 Nov 2026), Bernstein analysis